

The South British Insurance Co Ltd v Nemchand Premchand Shah and another

[1962] 1 EA 442 (CAM)

Division:	Court of Appeal at Mombasa
Date of judgment:	7 June 1962
Case Number: 3/1962	
Before:	Sir Ronald Sinclair P, Sir Trevor Gould and Crawshaw JJA
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[1] Practice – Appeal – Leave to appeal – Privy Council – Action dismissed on preliminary objection – Decision reversed on appeal – Interlocutory or final judgment – Eastern African (Appeal to Privy Council) Order-in-Council, 1951, s. 2 and s. 3.

Editor's Summary

An action by the respondent under an insurance policy was dismissed by the Supreme Court on a preliminary objection that an award under an arbitration clause in the policy was a condition precedent to any proceedings and that such arbitration had not taken place. This decision was reversed on appeal and the court ordered the proceedings to be remitted to the lower court to determine the issue of liability. Against this order the applicant applied for leave to appeal as of right, and the respondent contended that, as the decision of the appellate court was not a “final judgment” but an “interlocutory judgment”, leave could not be granted.

Held –

- (i) it was doubtful whether the judgment of the Supreme Court could be said to be final and, even if it was, the judgment of the Court of Appeal was not final.
 - (ii) the judgment of the Court of Appeal did not finally dispose of the rights of the parties because the court remitted the matter in dispute to the lower court for those rights to be determined; accordingly there was no appeal as of right.
- Application refused.

Cases referred to in judgment:

- (1) *Hill v. Fladgate*, [1910] 1 Ch. 489.
- (2) *Shubrook v. Tufnell* (1882), 9 Q.B.D. 621.
- (3) *Salaman v. Warner*, [1891] 1 Q.B. 734.
- (4) *Bozson v. Altrincham Urban District Council*, [1903] 1 K.B. 547.
- (5) *Isaacs & Sons v. Salbstein*, [1916] 2 K.B. 139.
- (6) *Cogstad v. Newsum Ltd.*, [1921] 2 A.C. 528.
- (7) *Hunt v. Allied Bakeies Ltd.*, [1956] 1 W.L.R. 1326; [1956] 3 All E.R. 513
- (8) *Goldring v. La Banque D'Hochelaga* (1880), 5 App. Cas. 371.
- (9) *Khemaney v. Murlidhar*, [1958] E.A. 268 (C.A.).
- (10) *Khemaney v. Murlidhar*, [1960] E.A. 1 (P.C.).

Judgment

Crawshaw JA: This application relates to an intended appeal to the Privy Council from an order of this court dated January 13, 1962. The history of these proceedings is that a suit under an insurance policy was filed in the Supreme Court by the respondents (hereinafter referred to as the plaintiffs) against the applicant (hereinafter referred to as the defendant) but was dismissed on a preliminary objection, the learned judge holding that no right of action arose under the policy until an award under the arbitration

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clause contained in the policy had been made. The plaintiffs appealed against that decision to this court and the appeal was allowed, it being ordered that the suit should proceed. The defendant now

wishes to appeal to the Privy Council against that order and the application is in the following terms:

“ For Orders That:

(1) (a) The applicant be at liberty as matter of right pursuant to sub-s. (a) of s. 3 of East African (Appeals to Privy Council) Order-in-Council, 1951, to appeal from the judgment and formal order above recited

(b) Alternatively the applicant be granted leave to appeal from the judgment and formal order above cited pursuant to sub-s. (b) of s. 3 of East African (Appeals to Privy Council)

Order-in-Council, 1951, on the grounds that the question involved in the appeal is one of great general and public importance.

(2) The costs of this application be costs in the Privy Council appeal and be awarded to the respondents in case the appeal be dismissed for want of prosecution.”

The plaintiffs contest the right of the defendant to appeal as of right and oppose leave being granted. During the hearing of the application I understood Mr. Cleasby, who appeared for the defendant, to abandon that part of his application which sought leave to appeal, and to rely only on his claim to appeal as of right.

Section 3 of the East African (Appeal to Privy Council) Order-in-Council, 1951, reads:

“3. Subject to the provisions of this order, an appeal shall lie –

(a) as of right, from any final judgment of the court, where the matter in dispute on the appeal amounts to or is of the value of £1,000 sterling or upwards, or where the appeal involves directly or indirectly some claim or question to or respecting property or some civil right amounting to or of the said value or upwards; and

(b) at the discretion of the court, from any other judgment of the court, whether final or interlocutory, if, in the opinion of the court, the question involved in the appeal is one which, by reason of its great general or public importance or otherwise, ought to be submitted to His Majesty-in-Council for decision.”

The amount claimed under the policy and which is in dispute on the pleadings exceeds £1,000. In s. 2 of the Order-in-Council “judgment” is defined as including “decree, order, sentence or decision”.

Mr. Cleasby, as I understand him, submits that the decision of this court is a “final judgment” within the meaning of s. 3 of the Order-in-Council: that the judgment of the learned judge related to the whole suit, and not a part, and that it was the whole of that judgment which was reversed by this court: that a judgment is not interlocutory when it sets aside a judgment of the Supreme Court: that there is nothing further to be done to perfect the judgment of this court: that no decision involving a right is interlocutory excepting an order for retrial which contains no decision on the suit: that had the judgment of the Supreme Court dismissing the suit been upheld in this court, the plaintiffs would have been able to appeal to the Privy Council as of right, and that therefore a similar right must pertain to the defendant on the judgment of the Supreme Court being set aside, and that it would be wrong if one party could appeal and not the other: that if there is no right to appeal to the Privy Council at this stage, the effect would be that the suit would proceed, and if the judge found for the plaintiffs, his decision could have no reference to the subject matter of this intended appeal, and should the defendant in those circumstances

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find it necessary to carry an appeal against the eventual finding of the judge to the Privy Council, the defendant would be unable to raise before the Privy Council the decision now sought to be appealed from: that the matter in dispute for the purpose of s. 3 of the Order-in-Council exceeds £1,000.

Mr. Khanna, on the other hand, submits that the decision of this court was not a “final judgment”.

He maintains that all this court in fact held was that the arbitration clause was no bar to the suit, and that the judgment was interlocutory, it being a necessary matter for decision before the case could be heard on its merits: that the matter in dispute in the intended appeal is incapable of monetary assessment and is different from the monetary claim itself: that this court did not declare the rights of the parties or direct the Supreme Court to find what sum is due, but merely disposed of one of the several grounds of defence: that if, after the suit is disposed of on its merits in favour of the plaintiffs, the defendant should eventually take the matter on appeal to the Privy Council, the defendant would then be able to take objection to the decision of this court, if not as of right at least with the leave of the Privy Council.

No definition of “final judgment” or “interlocutory judgment” appears in the Order-in-Council nor in our Civil Procedure Ordinance or in the rules made thereunder. Nor does a definition appear in the English Rules of the Supreme Court, and the authorities show that the English courts have at times

found difficulty in deciding whether an order is final or interlocutory. In *Hill v. Fladgate* (1), [1910] 1 Ch. 489, where an order dismissing an action as frivolous and vexatious was held for the purposes of appeal to be an interlocutory order, Buckley, L.J., observed,

“the rules are so expressed and the decisions are so conflicting that I confess I am unable to arrive to any conclusion satisfactory to my own mind as to whether this is an interlocutory or a final order”.

In *Shubrook v. Tufnell* (2) (1882), 9 Q.B.D. 621, an arbitrator stated a case for the opinion of the court which provided that, if the opinion of the court should be in favour of the plaintiff then the case was to be referred back to the arbitrator, otherwise judgment was to be entered for the defendant. The question before the court was whether on the facts there was a cause of action, and the court held that there was and remitted the case to the arbitrator. On appeal it was held that this was a final order, on the basis apparently that had the appellate court differed from the court below, final judgment would have been entered for the defendant and that would have been the end of the action.

In *Salaman v. Warner* (3), [1891] 1 Q.B. 734, the defence before trial had raised a point of law that the statement of claim did not disclose a cause of action, and the divisional court dismissed the action. On appeal (the case of *Shubrook v. Tufnell* (2), was not cited) it was held that the order dismissing the action was interlocutory and not final, Lord Esher, M.R. saying:

“The question must depend on what would be the result of the decision of the Divisional Court, assuming it to be given in favour of either of the parties. If their decision, whichever way it is given, will, if it stands, finally dispose of the matter in dispute, I think that for the purposes of these rules it is final. On the other hand, if their decision, if given in one way, will finally dispose of the matter in dispute, but, if given in the other, will allow the action to go on, then I think it is not final, but interlocutory.”

The apparent divergence of views in the *Shubrook v. Tufnell* (2), and *Salaman v. Warner* (3), cases was brought to the notice of the appellate court in *Bozson v. Altrincham Urban District Council* (4), [1903] 1 K.B. 547. There, the action was for damages for breach of contract; the question of liability and breach only were to be tried, the rest of the case, if any, being left to an official referee. The trial court held there was no breach of contract and dismissed the action.

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On appeal it was held, preferring, as the Earl of Halsbury said, the decision in the *Shubrook* case (2), to that in the *Salaman* case (3), that the order of the trial court was a final order. Lord Alverstone said:

“It seems to me that the real test for determining this question ought to be this: does the judgment or order, as made, finally dispose of the rights of the parties? If it does, then I think it ought to be treated as a final order but if it does not, it is then, in my opinion, an interlocutory order.”

In the 1962 edition of the Annual Practice at p. 1664, after referring to the test applied by Lord Alverstone, it is said:

“A different test is stated in *Salaman v. Warner*, [1891] 1 Q.B. 734, namely, that an order is an interlocutory order unless it is made on an application of such a character that whatever order had been made thereon must finally have disposed of the matter in dispute (see per DU Parcq, L.J., in *Egerton v. Shirley*, [1945] K.B. at p. 110). The latter test (accepted by Romer, L.J., in *Re Herbert Reeves & Co.* [1902], 1 Ch., at p. 33) regards the nature of the proceedings; the former (which is generally preferred) looks at the order made. ‘What must be looked at is the order under appeal’ (*Isaacs & Sons v. Salbstein*, [1916] 2 K.B. 139, C.A., at p. 147).”

That one must look at the order made was the view taken by the court in *Isaacs & Sons v. Salbstein* (5), [1916] 2 K.B. 139, on an appeal from an order directing a new trial. At p. 148, Pickford, L.J., there said: “In *Bozson v. Altrincham Urban Council*, the Court of Appeal declined to follow *Salaman v. Warner*,

and said they preferred *Shubrook v. Tufnell*, but although Lord Halsbury, L.C., said he preferred it I do not think he altogether followed it. He followed it so far as to say that *Salaman v. Warner* was not right in saying that an order was final if it would, whichever side won, finally determine the litigation; he further said that the thing to be looked at was the order appealed from. In the present case the order appealed from. In the present case the order appealed from does not put a final end to the action, and this is an appeal from an interlocutory, and not from a final, order.”

Swinfen Eady, L.J., referring to the divergent decisions in *Shubrook v. Tufnell* (2), and *Salaman v. Warner* (3), said at p. 147, “neither decision seems quite consistent with that in *Bozson v. Altrincham Urban Council*, which puts the matter on the true foundation that what must be looked at is the order under appeal.”

In *Cogstad v. Newsum Ltd.* (6), [1921] 2 A.C. 528, the House (by a majority) did not follow *Shubrook v. Tufnell* (2). Lord Buckmaster, referring to the judgment of JESSEL, M.R., therein said, at

p. 534,

“he appears to assume that if an award is made in such a form that in one event a decision will make it final that constitutes a final award. I am unable to agree with this view.”

Lord Buckmaster then went on to say that an award cannot be regarded as final if in certain circumstances the matter may be referred back to the arbitrator.

As it is the order appeal which must be looked at, it is not strictly necessary to look at the order of the learned judge, and I only do so to meet the argument of Mr. Cleasby that if the learned judge’s order was final, so must be the order of this court in setting it aside; an argument which in my opinion is unsound. The learned judge said, “It is my view, therefore, that the plaintiff disclosed no cause of action”. It was held in *Hunt v. Allied Bakeries Ltd.* (7), [1956] 1 W.L.R. 1326, that an order dismissing an action because it failed to disclose a cause of action is to be treated as interlocutory. In coming to this

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conclusion Lord Evershed, M.R., referring to the decision in *Hill v. Fladgate* (1), (cited by him as “*In re Page*”) with apparent approval, said at p. 1328:

“After consulting with the chief registrar and looking at the case, and also after consultation with my colleagues, I am left in no doubt at all that, rightly or wrongly, orders dismissing actions – either because they are frivolous and vexatious, or on the ground of disclosure of no reasonable cause of action – have for a very long time been treated as interlocutory.”

And at p. 1329:

“It is possible that there may be cases (though no example now occurs to me and the present case is certainly not one) in which the facts would be of so special a character as to create an exception of the rule.”

I do not think that any special facts are present in the instant case to take it out of the general rule. It seems a little difficult perhaps to reconcile the decision in the *Hunt* case (7), with Lord Alverstone’s test in the *Bozson* case (4). Buckley, L.J., found a similar difficulty in agreeing with the other members of the court in the *Hill* case (1), where at p. 494, he said,

“This, however, is an order in favour of the defendants and it brings this action altogether to an end. To my mind it would be reasonable to say that that is a final order. But I do not think I am entitled to found myself on that, because there have been many decisions in which orders apparently final have been treated as interlocutory.”

The judgment we are concerned with, however, is not that of the learned judge but that from which leave to appeal is sought, that is the judgment of this court reversing the judgment of the court below and directing that the suit should proceed. Even if the judgment of the learned judge could be said to have been final (which in view of the more recent decisions seems doubtful), I do not think it can reasonably be said that the judgment of this court was. It does not dispose of the rights of the parties, for it is remitting the matter in dispute to the court for those rights to be determined. I would therefore refuse to make the order asked for by the defendant and award costs of the application to the plaintiffs. The question of the value of the matter in dispute does not in the circumstances arise.

Sir Trevor Gould J.A: I have had the advantage of reading the order prepared by CRAWSHAW, J.A., and agree with him that the application must be refused. It would seem evident that the word “final” as used in para. 3(a) of the East African (Appeal to Privy Council) Order-in-Council, 1951, is used in contradistinction to the word “interlocutory” as both words are used in para. 3(b) and also on the authority of such cases as *Goldring v. La Banque D’Hochelaga* (8) (1880), 5 App. Cas. 371, and other cases referred to in Privy Council Practice by Bentwich (3rd Edn.), at p. 105. That being so I think the English authorities are to be accepted as a guide, although decided in relation to different rules and enactments. The weight of those authorities, as my learned brother has found, indicates that the judgment of this court from which leave to appeal is sought is not a final judgment. There is therefore no appeal as of right and this court has not been asked to exercise its discretion under para. 3(b). Counsel for the applicant submitted that if he be not permitted to appeal now to the Privy Council

upon the particular point, he has been deprived of one ground of defence and will never have the opportunity of having that point decided by the Privy Council. I do not myself think that result would follow, but even if it did it would not justify this court in assigning to the word “final” a

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meaning at variance with its normal meaning. Special leave may of course always be sought direct

from the Privy Council.

In agreeing that the application should be dismissed I find one cause for hesitation, in that there has been one case to my own knowledge in which leave to appeal was obtained from this court and in which the construction of para. 3(a) now adopted was not applied. That was the case of *Khemaney v. Murlidhar* (9), [1958] E.A. 268 (C.A.), in which this court ordered a new trial on a question of damages. Leave to appeal was obtained and the appeal was duly heard by the Privy Council (10), [1960] E.A. 1 (P.C.). The judgment of this court ordering a new trial would fall into the category of interlocutory judgments on the principles now being applied. Reference to the records of the case, however, shows that no objection was offered to the making of either the conditional or final orders giving leave. There was no argument and the question now under consideration was never raised. I do not therefore consider that that case provides any ground for altering the conclusion now arrived at.

Sir Ronald Sinclair P: I have had the advantage of reading the orders prepared by my brother judges. I agree with them and have nothing to add. The application is refused with costs.

Application refused.

For the applicant:

Atkinson,

Cleasby & Co., Mombasa

R. P. Cleasby and H. V. Anderson

For the respondent:

D. N. & R. N. Khanna, Nairobi

D. N. Khanna